



The Beginnings

This industry was created to channel the savings of a vast number of small investors into the capital markets. It is a vehicle to safeguard the interests of the small investors who are assumed to be incapable of taking investment decisions on their own. The mutual fund industry provides the basic infrastructure for professional investing in the form of professional fund managers, investment research, business analysts, stock market analysis and systems to cater to the huge pool of investors. The aim is to fulfil the long-term investment needs of the retail investors.



The Rules of the Game

- Long-term investment strategy
- Investor friendly: exit within 24 hours
- Professional fund managers with strong market expertise
- Backed by strong research analysts



The Paradox

Most mutual funds talk about long-term investment strategy. However, they are open-ended and the investor can exit whenever he wants. The paradox is that on the one hand it talks about a long-term investment philosophy but on the other it does not encourage the investor to be a long-term player. This is because the normal practice in the mutual fund industry is to have open-ended funds and the principle of long-term investment takes a back seat. The game is that of timing the market and looking for short-term gains. In fact it would be wrong to assume that investors do not want their money locked in for long periods. If that were true then people would not invest in RBI bonds, or post savings schemes for five to seven years, or in the Public Provident Fund for 15 years. The industry itself needs to be blamed for nurturing and nursing the culture of open-ended schemes.